

Datadog Inc

We Expect a 2026 Guide Above the Investor Consensus

Summary

Ahead of the Datadog 4Q25 print on Tuesday and its Investor day on Thursday this week, we offer our thoughts on the set-up, based in part on half a dozen customer/partner conversations. Bottom line, customer spending trends sounded healthy, and while we don't have visibility into how spend from OpenAI (Datadog's largest customer) will trend, we don't subscribe to the bear case and expect an initial 2026 revs growth guide to be higher than the investor bogey of 17-18%. We remain Buy-rated.

Healthy Customer Feedback

Feedback on Datadog spend was positive. We heard: it'll increase "10-15%", "we'll end up with a 15-20% increase", "we increased Datadog spend 35% in 2025 and 45% in 2026", it will increase "10-20% this year" and "we're increasing our spend 30% on Datadog." While we have to be careful not to over-extrapolate from a small sample size, this feedback was a tone pick-up relative to our last round of checks. Really the only major push-back we heard – in this round of checks and in prior rounds – was about Datadog's cost and efforts to cap the growth in Datadog spend. The risk that Datadog's core enterprise growth rate (20% in 3Q25) slows in 4Q25 appears low.

OpenAI Spend and the 2026 Guide

We believe that the investor consensus is for an initial 2026 revs growth guide of 17-18% (stock up nicely on 19%+, down on sub-17%). Our best guess is that Datadog guides higher to 18-19% growth, on the back of healthy core growth trends, an assumption that OpenAI spend with Datadog in 2026 will be flat or up modestly (we don't subscribe to the bear case that OpenAI is poised to slash its Datadog spend) and healthy growth from other AI-natives. Like all investors, we're scrutinizing Datadog for any potential AI disruption risk and we don't see it. Rather, we see Datadog as a direct and indirect AI beneficiary.

Valuation:

On our 2027 estimates, Datadog shares now trade at 7.2x revs, 24x FCF and 35x non-GAAP EPS. We think these multiples are attractive for mid-20% growth and a strong AI pull-through story, despite the still-present OpenAI uncertainty. We maintain our Buy rating, but we're lowering our PT to \$195 (from \$225) and tightening our target multiple to 43x CY27 EV/FCF (from 50x) to reflect the material de-rating across the software sector over the last few months.

Equities

United States
Software

12-month rating **Buy**

12m price target **US\$195.00**
Prior : US\$225.00

Price (06 Feb 2026) **US\$111.69**

RIC: DDOG.O BBG: DDOG US

Trading data and key metrics

52-wk range US\$199.72-87.00
Market cap. US\$38.9b
Shares o/s 349m (COM)
Free float 87%
Avg. daily volume ('000) 4,815
Avg. daily value (m) US\$686
Common s/h equity (12/25E) US\$3.71b
P/BV (12/25E) 10.5x
Net debt to EBITDA (12/25E) NM

EPS (UBS, diluted) (USD)

	12/25E			
	From	To	% ch	Cons.
Q1	0.57	0.57	0	0.46
Q2	0.57	0.57	0	0.46
Q3	0.69	0.69	0	0.55
Q4E	0.74	0.74	0	0.56
12/25E	2.56	2.56	0	2.03
12/26E	3.23	3.19	-1	2.36
12/27E	3.31	3.24	-2	2.89

Karl Keirstead

Analyst

karl.keirstead@ubs.com

+1-310-734 2455

Dean Marriott

Associate Analyst

dean.marriott@ubs.com

+1-212-713 2115

Highlights (US\$m)	12/22	12/23	12/24	12/25E	12/26E	12/27E	12/28E	12/29E
Revenues	1,675	2,128	2,684	3,426	4,258	5,161	6,177	7,299
EBIT (UBS)	326	490	674	776	1,031	1,317	1,667	2,054
Net earnings (UBS)	338	576	807	929	1,176	1,211	1,458	1,800
EPS (UBS, diluted) (US\$)	0.98	1.65	2.26	2.56	3.19	3.24	3.84	4.68
DPS (net) (US\$)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Net (debt) / cash	1,145	1,841	2,576	3,430	4,639	6,186	8,114	10,478
Profitability/valuation	12/22	12/23	12/24	12/25E	12/26E	12/27E	12/28E	12/29E
EBIT (UBS) margin %	19.5	23.0	25.1	22.6	24.2	25.5	27.0	28.1
ROIC (EBIT) %	133.9	218.0	417.1	371.8	396.1	>500	(470.6)	(230.4)
EV/EBITDA (UBS core) x	92.0	50.8	53.5	43.2	32.0	24.0	18.1	13.8
P/E (UBS, diluted) x	NM	54.6	55.5	43.6	35.0	34.5	29.1	23.9
Equity FCF (UBS) yield %	1.0	2.1	1.9	2.3	3.1	4.0	5.0	6.1
Dividend yield (net) %	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0

Source: Company accounts, LSEG Eikon, UBS estimates. Metrics marked as (UBS) have had analyst adjustments applied. Valuations: based on an average share price that year, (E): based on a share price of US\$ 111.69 on 06-Feb-2026

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What We Heard

We offer the unvarnished feedback from our recent checks below.

Customer 1

- *Our overall IT budget is going to be flat overall, and that's because we're bringing in-house a lot of external consulting services and instead are leveraging AI. It's a re-allocation and a lot of it is going to automation. Observability, remediation orchestration, and CI/CD deployment automation are all seeing increases. Data and model optimization like MLOPs and AIOps are also increasing. Outcome monitoring is also seeing some spend increases, which is not as substantial but HSD.*
- *Observability is about retaining leverage over vendors, cost and complexity. We optimize for resilience and optionality, not tool count reduction. That shapes our decisions. What we see a lot in the market is that most observability discussions start with the wrong question. For us, it's not what tool we should standardize on because that's when you lose control. For us observability is not a monitoring problem, it's a governance problem.*
- *We have multiple brands, multiple cloud providers, multiple geographies, etc. For us the risk is unmanaged complexity and runaway consumption. That's why we're unapologetically multi-vendor. We use Datadog and Dynatrace where depth and operational expertise matter, but we don't allow them to dominate our control plane. We deliberately separate control, and Grafana Labs plays a critical role for us as a truth layer. Underneath all of that we have OpenTelemetry and Adaptive Telemetry.*
- *For overall observability spend, we see an increase over the next 3-5 years. We do see by design that the Datadog and Dynatrace growth will be constrained whereas Grafana and governance growth will be fastest. That's the outlook. In percentage, we see Datadog and Dynatrace increasing 10-15% over the next 36 months, and Grafana grows by 25-30% over time. The Grafana baseline is much lower, so the growth will be higher. Across the stacks our observability spend will be up 5% annually, which is consistent with what we increased it last year.*
- *Cost explodes with consumption-based pricing, so that's why Datadog cannot be the only platform. That's why we have the other tools. Datadog is powerful but economically super dangerous if not constrained. We control our Datadog cost actively, and we enforce controls before ingestion. OpenTelemetry is a mandatory instrumentation layer. It has very aggressive log filtering as well and is good at logging high cardinality custom metrics and sampling, so this is why we constrain the spend. 50-60% of potential spend is filtered out before going to Datadog without sacrificing at all on quality. Grafana and OpenTelemetry enable this.*
- *Our observability stack can be separated by a few layers. Layer 1 is basically the instrumentation and control layer, which is OpenTelemetry and mandatory instrumentation. It decouples applications from vendors, and it enables routing, sampling and therefore cost control. It prevents vendor lock in, allows telemetry to be filtered and sampled and rooted by value. For us, this is the most important strategic decision that we made in that stack.*
- *Layer 2 is Adaptive Telemetry. It's the cost layer. Pre-ingest sampling, zoom in on failure, zoom out on formality, business aware telemetry depth. The reason being telemetry volume grows a lot faster than cloud spend. GenAI observability would explode the costs as well, and Adaptive Telemetry protects us.*
- *The third layer is the core observability. Premium observability for customer-facing platforms, which is Datadog and Dynatrace and is highly automated observability for tightly coupled systems. Datadog for checkouts, customer-facing web applications and other critical workloads. It has a great UX, is loved by the team and has super broad signal coverage. But it's super aggressively governed by OpenTelemetry and sampling. Dynatrace is next to this.*
- *The fourth layer is the federation and governance layer. This is where Grafana comes in with visualization; it aggregates all of the data and then provides the dashboards. The fifth layer is the specialist and cost arbitrage layers, which includes Chronosphere and the CoreLogics of the world.*

- *We are Chronosphere customers, and we have another 1.5 years on our contract with them. It's always important to see what happens with these big acquisitions and how they run it. How much is Palo Alto Networks going to integrate it, what does the pricing look like. We're cautiously looking at this. Our contract with them is intentionally a 2+1 contract with the third year being a reevaluation year in 2027. We're going to ask if it still makes sense and if it can still provide the value. I think it makes sense for Palo Alto.*
- *Why does Chronosphere displace Datadog? Cost governance at scale for sure. I think that for now, we would not replace Datadog with Chronosphere. Datadog for us is a lot more than just metrics. They deliver a lot of infrastructure metrics, logs, tracing. Chronosphere is a lot more metrics-centric by design. It does not replace the rest, so it's not a full like for like replacement. It's an augmentation but not a replacement.*
- *For us, the role for Chronosphere is as a cost governor. All high volume signals land in Chronosphere first, then Chronosphere applies the sampling rules and rate limiting, and only the filtered high value metrics are forwarded to Datadog. That reduces the Datadog cost dramatically. Those are two very distinct roles. It's more bulk metric control and cost whereas Datadog is deep observability.*
- *AI workloads will definitely increase our observability costs. We operate our own internal AI factory. We use Datadog for AI observability, but super selectively and not as the sole system of record for the reason that our costs would explode. We use it where AI workloads touch production or the customer experience. It's not our blanket AI monitoring platform, and we're super deliberate about it.*
- *We think about AI observability in three ways: is the system healthy, is it economically under control, and is it behaving? We'll use Datadog especially in the brand equity experience for sure and when it's latency sensitive or customer-centric. We don't use it for model quality, bias or semantic correctness. Those questions are handled somewhere else.*
- *We don't use Datadog for research workloads and deep model internals, and we don't centralize AI observability in Datadog. It's mostly a governance decision. AI telemetry explodes a lot faster than classic telemetry. Tokens, prompts, all of those types of things. If ingestion is not contained or constrained, it could certainly break the budgets and also distort incentives, penalizing experimentation. We use it basically around sampling, escalation only on failure, and very selective signal routing.*
- *AI observability is definitely a needle mover from a spend perspective. If it were unconstrained, it would go up by 25%, but because it's contained, of the overall increase of 15%, maybe half of that is due to AI. Only if you have the proper telemetry governance in place. We contain it at roughly 5-7-8% of that increase.*

Customer 2

- *We really want to leverage agents, and we talk a lot about observability of them. With the EU AI act we want to leverage as much AI as we can and modernize our technology. We can no longer do passive monitoring with LLM traces, so we have to be more active in this area. Observability is not a nice to have but a must-have for compliance and efficiency reasons as well as legal requirements. We need to have the full visibility, especially from the unified view. Datadog is one of the things we're already using and also are currently exploring expansions with.*
- *Observability is a competitive landscape, and it will never be one solution that can do end to end observability unless we build it ourselves. We have on-premises SAP instances for example, and we have quite a few vendors because of this. Datadog we use more as a SaaS leader as a unified platform, especially for our cloud workflows. We use a lot of APM. We also use Dynatrace for our core ERP systems. We also use New Relic, which is a bit less fitting for the value proposition, but it's something simple that can scale well. We also use in-house cloud solutions like AWS CloudWatch and Prometheus with Grafana. The DIY stuff isn't great from a UI perspective and is slower, but it's interesting from a value proposition perspective.*

- *I think Datadog is actually a bit too expensive. Last year we spent quite a bit more for 4 or 5 reasons: 1) Datadog increased their prices. It's very sticky, so that was driving a price bump. 2) We have an in-house software team that was doing the monitoring. We saw quite a bit of a LDD increase from the team in terms of headcount. If we have more developers that means we have more seats, so a core driver was the custom metrics we created. 3) We spent more on the observability of LLMs and 4) we also tested out cybersecurity and doing a lot more there. We tried out a few of their systems, but I think this was an uplift for last year and assume it won't be for this year.*
- *From a general perspective, I think our observability spend went up 30%, but we also decreased it in a few of our areas, especially for legacy systems. We don't use a lot of Datadog there, but for Dynatrace. We also did a bit more on in-house tooling for lower volume data.*
- *Adding LLM observability increased our bill 7-8%. In the first half it really exploded a bit more because everyone was building at the end of 2024 and beginning of 2025, then we monitored everything probably not in the most efficient way. The end of the year we tried to eliminate any use cases that are not providing value.*
- *For AI use cases we use a lot of vector databases, and Datadog monitors this and is one of the only ones that has a unique tool to monitor vector databases. I think we are dependent on these databases, and in addition to that, especially if we do AI training and monitoring our GPU clusters, Datadog has a unique advantage with a unified view and better way to have integration to the IT landscape. I'm assuming that because of the vector databases we're going to spend 10% more just on this, and we'll end up with a 15-20% increase. It also depends on the value we create with the LLMs.*

Customer 3

- *One vendor we have for vehicle software engineering is Datadog. We increased our Datadog spend 35% in 2025 and will increase it 45% in 2026. Datadog is going to be a strong AI winner. I also think Snowflake will be and Databricks will be third.*

Customer 4

- *We've been rolling out AI applications in production, but even for the use cases where we are in production, we haven't rolled them out across all markets and geographies. In the next 2-3 years we should continue to increase production use cases. As far as who's benefitting from our AI initiatives, there are teams that are Snowflake heavy, Databricks heavy with Apache stack and ETL pipelines, then once the teams are able to bring the data together and start creating the ML pipelines, you have the Datadog and others doing data logging, APM type of use cases start to come in. There I would say Datadog is definitely used for logging, APM. ServiceNow is used heavily for ticketing, and Datadog is starting to compete in that space. Then there's observability like Arize that monitors performance in pilots.*
- *We're going to increase our Datadog spend 10-20% this year. We've seen a lot more apps start to adopt Datadog across the enterprise, which is a bigger spend driver. It's increasing faster than our cloud spend. The data storage, access to various infrastructure, steaming up of compute. Definitely the API endpoint component of cloud platforms is increasing, but overall cloud spend is increasing at a slower pace. Logs is 30-40% of our Datadog spend, and our APM spend is correlated with logs since there's logging happening in those apps as well.*
- *When teams started adopting Datadog, I don't think they were looking at it from an application performance perspective, but more so for application monitoring, alerting, uptime, etc. They weren't necessarily looking at it for use cases like "how well is my LLM doing in production." Other players out there like Arize and Galileo have always been pitching themselves as specialist observability tools that you can then go and customize the metrics for your AI applications. Now we know Datadog is going into that space, so why have two solutions when you can just integrate and have it as one offering?*

- *For all applications, adopting Datadog's LLM observability would result in another 30-40% spike in spend. This is one of the least mature pieces of our workflow. Teams have gotten good at building end to end use cases, compiling metrics, etc. but we haven't truly solved for production monitoring, closing the loop for continuous learning. That's still evolving. Some teams are also still using custom Microsoft dashboards. I don't need an Arize or something else like that in every case.*
- *Who we go with for AI observability is a little bit all over the place and is application dependent. For simple use cases like sentiment analysis or email classification, you don't need all of the bells and whistles from an observability dashboard. Larger use cases will want them.*

Customer 5

- *We have a digital transformation budget that was just finalized and is going to increase 25% next year. Datadog is definitely one of the beneficiaries from our strategy. We're currently using Datadog for data analytics and security and compliance. We're also using it for manufacturing and real-time data monitoring, uptime/downtime. It's part of this journey.*
- *We're increasing our spend 30% on Datadog, and that's the biggest increase because that's our big focus on data cleansing. We were only up 8% this year and we've accelerated by 22%. The reason for that increase from 8% is that we brought to companies together in September 2024. It's 30% because we're bringing two companies' data stacks together.*

Partner 1

- *For the second half of 2025, observability has still grown at a decent pace around 20%, but it's started to become a victim of the overall macro and I've seen deal cycles elongating. Even though cloud migrations continue and AI workloads continue to move into production, it's a bit of macro.*
- *Our Datadog practice came in relatively steady at 22.5% for C4Q. That's your traditional APM, logs and infrastructure. We think next year though there's potential for Datadog to cross 24.5% growth, and that's because Datadog remains the favorite platform in the high tech and SaaS industry segment. That's been a muted segment for the last 6 months, and there's a lot of pent-up demand.*
- *About 20% of my clients are invested in some variant of the Datadog AI suite. I've seen traction with Bits AI which alone has crossed 32% growth off of a small base. SRE agent, Security Analyst and the Dev agent are all seeing traction. I wouldn't call it an inflection point yet, and it's still very nascent. I expect us to hit an inflection in Q3 and Q4, and this is because that's when we expect to see an inflection in AI workloads moving into production. Our 24% target for next year does not include AI product revenue.*
- *Chronosphere caters to the containerized cloud world. Within that, it specifically caters to DevOps and DevSecOps workflows. It's not a full stack observability platform like Datadog and Dynatrace. They've launched their first full stack observability solution, but based on my years of experience with observability, full stack solutions are still only available from Dynatrace and Datadog.*
- *Chronosphere does a very good job within its own silo of limited space. Palo Alto is on an acquisition spree right from the time they acquired CyberArk and now are onto Chronosphere. For them to integrate this into their own tech stack, it's going to take time. I don't see an immediate threat from the acquisition to Datadog. Their immediate threats are from Dynatrace and the OpenAI development.*

Takes from Our January VC Summit

In mid-January we hosted our annual VC Summit in Menlo Park, doing firesides with several of the largest VC firms invested in private observability players.

- **VC Investor #1:** *Observability is a gift that keeps on giving, and everyone in the market has seen it particularly this past year, right? So if we look at just the Chronosphere acquisition, that was a pretty sizable outcome. Honeycomb's doing incredibly well. That was my investment. Grafana has grown tremendously in the last several years. So, I do think that there is a tremendous, ongoing opportunity around observability. And I think the only nuance that I would have at this moment is that the observability discussion is definitely speciated to beyond just system observability. There is now data observability, LLM observability. Most of those new markets are still de minimis in comparison to the large system observability space. If we think about Chronosphere even before the acquisition, what was their primary value proposition, right? They were basically providing an enterprise observability layer that was going head-to-head and competing against Datadog. And price. It was literally like, "Here's everything we can provide, but the enterprise price is like 10X cheaper." It's a legitimate product. I think it is interesting to see that every single one of the post-Datadog, next-generation observability players are now well over \$100 million. Every single one. And that says a lot about that entire market.*
- **VC Investor #2:** *I think observability is a great software market. I see natural synergies [between security and observability] both at the technical layer.*
- **VC Investor #3:** *I think agents absolutely extend the surface area. It extends a surface area of compute; from infrastructure authorization security perspective it extends there as well. And I think the thing that everyone is talking about is LLM observability too. So does an LLM actually produce the action, the intended action that you think it should or will, because it's probabilistic, not determinist. And so I think it absolutely extends [the surface area]. Now, Datadog has to make a couple different acquisitions, but we know they're really focused on it, and so that's why I continue to be really bullish.*

Summary of This Feedback

We came away with a few key takeaways from these checks.

1. Healthy Overall Spending Trends

Feedback on Datadog spend was positive. We heard: it'll increase "10-15%", "we'll end up with a 15-20% increase", "we increased Datadog spend 35% in 2025 and 45% in 2026", it will increase "10-20% this year" and "we're increasing our spend 30% on Datadog." While we have to be careful not to over-extrapolate this feedback since it's a relatively small sample size, this feedback was a tone pick-up relative to our last round of checks (where spend was mixed), and it's important to note that this is despite multiple customers emphasizing just how closely they're scrutinizing their Datadog spend. While we did hear customers express a desire to throttle back Datadog spend because of its high cost – really the only major push-back we've heard over the years – overall the spending trends sounded healthy and we didn't hear anecdotes of churning off Datadog or materially cutting back on spend.

This feedback, coupled with a very healthy core or ex-AI cloud infrastructure market (solid results across AWS, Microsoft Azure and Google Cloud, with all three calling out strength in core CPU-based workloads) suggests that Datadog's core enterprise growth rate (20% in 3Q25) likely didn't decelerate in 4Q25. The only potential end market negative we're thinking about is Datadog's large exposure to "cloud-native" tech firms, including Software firms that may need to trim expenses in 2026/2027 as they react to the AI threat. But in our view, this is offset by the healthy cloud infra trends and our view that any incremental cost-cutting by Software firms is likely to be focused on headcount, not on monitoring their core products.

2. Observability is an AI Beneficiary

Nearly all customers named Datadog as an AI beneficiary, with multiple checks highlighting that they should see an uplift in Datadog spend now that they're moving out of the experimentation phase for AI workloads and deploying these in production environments. We heard from one customer "AI workloads will definitely increase our observability costs. We use Datadog where AI workloads touch production or the customer experience," and another shared: "We can no longer do passive monitoring with LLM traces, so we have to be more active in this area. Observability is not a nice to have but a must-have."

We also spoke to multiple AI observability customers who shared with us "AI observability is definitely a needle mover from a spend perspective. If it were unconstrained, it would go up by 25%, but because it's contained, of the overall increase of 15%, maybe half of that is due to AI" and "adding LLM observability increased our bill 7-8%." One customer also shared with us that using LLM observability for all applications "would result in another 30-40% spike in spend," and a separate customer shared that Datadog is critical to their vector database monitoring, so they're "going to spend 10% more just on this." Importantly, this is all net new spend with Datadog, and these customers were all large, recognizable brands.

This is encouraging, and serves to limit the downside risk to the core growth rate. Like all investors are, we're absorbing every statement, every blog post and every tweet from the leadership and product teams at OpenAI and Anthropic to pick up any hint that these firms are planning to step into the observability market themselves. Net, we don't hear observability software come up in roadmap discussions from the AI model providers, apart from hints from OpenAI that its Codex product can increasingly take on monitoring tasks (not just up-front coding) associated with the AI software development process. Likewise, we try to stay close to the VC community and we're not hearing of any emerging AI start-up that is being funded to take on Datadog. In fact many VC-funded AI natives use Datadog.

3. Chronosphere and Recent M&A Activity

The recent M&A activity in this space (Palo Alto Networks buying Chronosphere, Snowflake buying Observe) is interesting, and we expect to see even more M&A activity. The fact that fairly savvy tech firms such as Palo Alto Networks and Snowflake are buying into this space in our view validates that it is a healthy software end market. Privately-held Grafana (mentioned a few times by the customer checks above) posted on LinkedIn the other day that "coming off an incredible 4Q, Grafana crushed our targets once again", with the company posting \$400m in ARR in its just-closed FY26 (it hit \$250m in ARR a year-ago).

We didn't get the sense from our checks that the Chronosphere threat is material to Datadog. One large Datadog customer told us that they use Chronosphere primarily as a "cost governor" for "bulk metric control", reducing Datadog cost by sending high volume signals to Chronosphere first to be filtered. When pressed on if Chronosphere could displace Datadog, they said "for now, we would not replace Datadog with Chronosphere. Datadog for us is a lot more than just metrics. Chronosphere is a lot more metrics-centric by design. It does not replace the rest...it's more bulk metric control and cost whereas Datadog is deep observability." We DO worry that some smaller players are throwing in the towel and selling, but this could be a reflection of the reality that Datadog and Dynatrace are tough to unseat and beat.

OpenAI and Other AI-Natives

The checks we did into the Datadog print were all enterprise-focused and don't help address the other key debate about the spending trends at OpenAI and other AI-natives. Let's touch on this key debate.

The 3Q25 OpenAI Renewal and Expansion

On the 3Q25 call, Datadog management said that a leading AI company (presumably OpenAI) signed "a nine-figure annualized expansion" and "has expanded their usage of multiple products, securing better economics for a higher commitment with an early renewal." The deal dropped into RPO/backlog, which grew by \$360 million q/q and was up materially from \$30 million in the year-ago quarter and \$200 million in 3Q23. Datadog argued that the much higher RPO growth was not just this large deal, and management has said on every call for the last 2+ years that revenue is a more reliable metric than RPO, but it's still a noteworthy increase as we and investors try to grasp the size of the deal. Datadog has been reticent to provide additional detail on the OpenAI contract beyond their public comments on the call, but when we pressed them on it at our UBS Global Technology and AI Conference in early December, the CFO reminded us: a) gross retention for large customers is in the very high-90%, and it's "really a fringe case" when a large customer leaves Datadog and b) Datadog can coexist with other observability vendors in large customer environments, and while in this case "there's been a lot of noise in the market that other solutions are being used" (referring to Chronosphere and ClickHouse), that does not mean that OpenAI is not still growing significantly with Datadog.

OpenAI Spending Growth in 2026

The key variable that investors are rightfully focused on is the 2026 OpenAI spend trajectory. At the extreme, bears have argued that the 3Q25 renewal is a stopgap that allows OpenAI more time to migrate off of Datadog and onto Chronosphere and open source ClickHouse, meaning that OpenAI revs will fall off a cliff in the next 6-12 months. In our view that seems unlikely. We haven't heard of any comment from OpenAI or any other source in recent months that OpenAI plans to in-source observability tools. In early-January 2026, OpenAI posted about Datadog's use of Codex for code review tasks, describing Datadog as "one of the world's most widely-used observability platforms...when something breaks, customers depend on Datadog". Choosing Datadog as a public reference customer for Codex seems like an odd choice if OpenAI was behind closed doors planning to eliminate Datadog or massively curtail spend with them.

The more legitimate risk is that OpenAI growth in 2024 and 2025 was so material, so far above their minimum commitment level, that with the combination of a) the step-down in pricing baked into the new contract and b) a desire to cut costs by shifting the spending mix to Chronosphere/ClickHouse, OpenAI spend could be flat in 2026 or even decline. Of course this is possible, but two things in our view mitigate that risk. First, share losses to Chronosphere/ClickHouse were a known and much-discussed risk throughout 2025 and yet this risk didn't play out – OpenAI renewed and expanded with Datadog. Could things change in 2026? Maybe, but it's not obvious to us what catalyst would suddenly change the mix of vendors. Second, ChatGPT user count is still expanding and on the back of GPT 5.3, OpenAI is now talking about new product launches and the need for more compute infra in 2026. This points to continued healthy spend with its observability partners.

Other AI Natives

While investors are understandably focused on the OpenAI spending outlook, Datadog management continues to place an emphasis on the broadening of the AI native cohort, especially now that this group consists of 15 customers spending over \$1 million on the platform (+3 q/q in 3Q25) and as of 2Q25 features “8 of the top 10 leading AI companies”, including Cursor and possibly Anthropic (both of which are rapidly scaling, particularly Anthropic recently). One of the most underappreciated parts of the Datadog story could be the strength in the AI cohort ex-OpenAI, which saw a growth acceleration in 3Q25.

What struck us as interesting in 3Q25 was not just that the AI native cohort ex-OpenAI accelerated, but also the sequential revs and NNARR for the total AI native cohort were still solid despite the OpenAI optimization. When OpenAI last optimized its Datadog contract in 4Q24, the AI native mix as a % of ARR stayed consistent at 6%, but NNARR was just \$12 million compared to \$66 million in 3Q24. By comparison, 3Q25 AI native NNARR of \$64 million was down from the \$110 million in 2Q25, but a) AI native revs mix still increased a point q/q despite OpenAI’s likely spend decreasing relative to 2Q25 and b) 3Q25 NNARR was roughly flat y/y, but the rest of the cohort was smaller in 3Q24 and that was a quarter in which OpenAI ramped. To us, this reflects the broadening of the cohort that Datadog’s management continues to emphasize. We haven’t picked up anything from our industry conversations to suggest that the broader AI native cohort hit some type of growth constraint in 4Q25 and would be likely to pull back spend on Datadog in 2026. The opposite appears to be true – they remain in hyper-growth mode.

The Likely 2026 Revs Growth Guide

All eyes will be on the 2026 revenue growth outlook on Datadog's 4Q25 earnings call on Tuesday. As noted in Figure 1 below, Datadog is on track to deliver \$3.426 billion in revs this year, +28% y/y and 7% (9 points of growth) above the initial guide set at this time last year. This would represent the strongest beat in 3 years, which could reflect how a) the cloud infrastructure and observability market backdrop has improved despite the OpenAI noise and b) Datadog's management team is layering in additional conservatism as the AI natives become a more material part of the business to account for less predictable spend patterns.

Figure 1: Datadog Initial Guide vs Actual Performance

(\$ in millions)	2020	2021	2022	2023	2024	2025E
Revenue	603	1,029	1,675	2,128	2,684	3,426
% Y/Y	66%	70%	63%	27%	26%	28%
Y/Y \$	241	425	646	453	556	741
Initial Revs Guide (High-End)	545	835	1,530	2,090	2,575	3,195
% Y/Y	50.2%	38.4%	48.7%	24.8%	21.0%	19.0%
Y/Y \$	182	232	501	415	447	511
Revs \$ Outperformance	58	194	145	38	109	231
% Outperformance	11%	23%	9%	2%	4%	7%

Source: Company reports, UBS

UBS Assumptions by Customer Segment

To help frame the potential OpenAI impact, we show a simple scenario table in Figure 2 below. We make two key assumptions. First, that core enterprise or ex-AI revs growth accelerates modestly to 22% in 2026 from 20% in 3Q25 and second, that "other" AI natives revs, which we peg at ~\$200 million in 4Q25, increases to \$250 million in 2026 (this in our view is very – perhaps too – conservative). The swing factor is therefore OpenAI spend. We show three scenarios for 2026 assuming a base annualized OpenAI revenue level of \$325 million in 4Q25 – a material decline to \$225 million, flat at \$325 million and a solid increase to \$425 million. This gets us to three total revs growth scenarios and then we trim this output to back into what Datadog would be most likely to guide to in each scenario.

Figure 2: The OpenAI Guidance Impact

OpenAI Guidance Impact			Revenue Growth		
\$ in millions	4Q25 Run Rate	2025E	OpenAI Declines	2026E Flat	OpenAI Up
OpenAI	325	275	225	325	425
Other AI Natives	202	109	250	250	250
Total AI Natives	\$527	\$384	\$475	\$575	\$675
% Y/Y	183.3%	188.7%	23.8%	49.9%	76.0%
% of total	13.2%	11.2%	11.3%	13.4%	15.4%
Core	\$3,470	\$3,042	\$3,711	\$3,711	\$3,711
% Y/Y	19.1%	19.2%	22.0%	22.0%	22.0%
Total Revenue	\$3,997	\$3,426	\$4,186	\$4,286	\$4,386
% Y/Y	29.0%	27.6%	22.2%	25.1%	28.0%
Likely Datadog Guide			16-17%	19-20%	22-23%

Source: UBS

We Expect an Initial Guide of 18-19%

We believe that the investor consensus is for an initial growth guide of 17-18% (stock up nicely on 19%+, down on sub-17%), even though this is below the current sell-side consensus of 21%. We'd note that Datadog has guided below street consensus in each of the last two years (60 bps below in 2024 and 200 bps in 2025). We're basing our outlook in a view that the core growth rate will remain healthy and that OpenAI spend with Datadog is more likely to be up than down, such that we conclude that this consensus is likely too low. Our best guess is that Datadog guides to 18-19% growth, dispelling OpenAI churn fears (at least for now). With normal/strong upside, this would leave a mid-20% growth outcome firmly on the table. While we continue to lean optimistic on the OpenAI relationship, we're trimming our 2026 revs growth estimate from 26% to 24% to bake in more conservatism ahead of the print.

Note that Datadog raised some eyebrows when the company announced a NYC-based Investor Day on Thursday February 12th, just two days after the print and its first in two years. This understandably made some investors nervous, as it could signal that the company wanted to carve out time to explain a weaker than expected 2026 revs guide. We get it, but we're not reading too much into it. Datadog's last Investor Day in February 2024 was also two days after the 4Q print, and besides updating the company's long-term margin target to 25%+ from 20%+, it was mainly just a refresh on the long-term story. It's possible that Datadog concluded that it's been a while since the last analyst day, and with all of the focus on the OpenAI optimization, now would be a good time to refresh the growth story.

Expecting 29% Growth in 4Q25

Datadog guided to \$916m in revs at the high-end, +24% y/y. This represents a 4 point decel and just \$30m in sequential revs compared to \$48m and \$42m in 2Q24 and 2Q23, respectively. This guide looks conservative to us, especially considering a) our checks leaned positive this round, with multiple customers citing Datadog as a spend beneficiary from moving AI workloads into production environments, b) core growth accelerated last quarter 2 points to 20%, and Datadog faces an easy core comp from 4Q24 of 20% and c) the ex-OpenAI AI native cohort also accelerated last quarter and is becoming a more meaningful portion of the business. We expect Datadog to deliver a 4 point beat (consistent with the last two quarters) and are leaving our \$952m (+29% y/y) estimate unchanged.

Modest 2026 Margin Improvement

In 2025, Datadog's non-GAAP operating margin is on track to exceed 22%, which would be down ~250 bps y/y but still 150 bps ahead of the initial margin target of 21% set last February. This would be a weaker beat than usual, but that's not too surprising considering management cited an inflection in quota capacity sales rep growth in 3Q24 and also has consistently emphasized the need to continue to invest in key growth areas, prioritizing long-term growth. We pressed the CFO at our conference on how to think about margins going into next year, and he said they were *"above that 25% [long-term target] for a period, and we see that we need to invest more. I think what we're trying to do as a company is while staying within this band, you can look at our long-term guidance, we're leaning in towards investments that are going to maintain as high as possible long-term growth rate and compound our revenue."* This doesn't sound like a shift in strategy to us. While we expect Datadog to benefit from more S&M leverage this year as the new sales capacity continues to mature, we don't expect material margin upside in 2026. We're leaving our 24% 2026 operating margin unchanged (+157 bps y/y) and expect the company to guide to 22%.

Figure 3: Margin Out-Performance

	2020	2021	2022	2023	2024	2025E
Initial High-End Op Margin Guide	-3.7%	5.4%	11.8%	15.3%	21.6%	21.1%
Actual	10.5%	16.0%	19.5%	23.0%	25.1%	22.6%
Delta (bps)	1,421	1,065	771	772	356	152

Source: Company reports, UBS

Valuation Thoughts

While much of the Software sector has been hammered YTD, Datadog shares have been more resilient YTD at -18% (amazing that we'd deem -18% to be remotely resilient). That said, the stock is down hard since the prior 3Q25 print, which lifted Datadog shares by +23%, with the stock -42% since. In our view, this move lower has been driven by a) a broader sell-off in Software, including high-multiple names, b) fears that OpenAI spend could be flat/down in 2026 growth and c) the Chronosphere acquisition by Palo Alto Networks increasing the competitive risk at OpenAI and in the broader observability market.

As shown in Figure 4 below, Datadog shares now trade at 8.8x our revised 2026e revs estimate and 31x our FCF estimate, which is a premium to the company's high-growth comp group median of 7x on revs and materially above the median of 17x on FCF. Despite the material de-rating since the print and still-present OpenAI uncertainty, we think valuation is attractive for mid-20% revs growth, modestly up margins and a discernible AI pull-through story. With the Street focus on EPS-based valuation frameworks rising, we'd note that Datadog shares trade at 35x our 2027 non-GAAP EPS estimate of \$3.27 and that Datadog has been GAAP EPS positive for some time (SBC charges are running at a still-high 23%).

We maintain our Buy rating, but we're lowering our PT to \$195 (from \$225) and tightening our target multiple to 43x CY27 EV/FCF (from 50x) to reflect the material de-rating across the software sector over the last few months.

Figure 4: Peer Group of 20%+ Growth Software Firms

Company	Ticker	Price	% Change	Market Cap	Revs Growth Y/Y%			EV/Revs			EV/FCF		
		2/6/2026	YTD		CY25E	CY26E	CY27E	CY25E	CY26E	CY27E	CY25E	CY26E	CY27E
Palantir	PLTR	\$135.90	(24%)	\$348,300	56%	58%	42%	76.2x	48.2x	33.9x	150.2x	90.2x	64.4x
Cloudflare	NET	\$173.21	(12%)	\$63,267	28%	27%	27%	29.1x	22.9x	18.0x	NM	NM	NM
CrowdStrike	CRWD	\$395.50	(16%)	\$101,375	22%	22%	22%	20.6x	16.9x	13.9x	81.5x	55.7x	42.7x
Snowflake	SNOW	\$168.43	(23%)	\$62,720	28%	25%	23%	13.5x	10.8x	8.8x	55.4x	42.3x	32.4x
Datadog	DDOG	\$111.69	(18%)	\$40,066	28%	24%	21%	10.9x	8.8x	7.2x	41.6x	30.8x	24.1x
Zscaler	ZS	\$167.33	(26%)	\$27,707	23%	22%	19%	8.9x	7.3x	6.1x	32.6x	26.2x	21.1x
Gitlab	GTLB	\$32.13	(14%)	\$5,478	25%	19%	18%	4.6x	3.9x	3.3x	21.3x	17.3x	13.8x
Dynatrace	DT	\$33.71	(22%)	\$10,253	17%	15%	14%	4.7x	4.0x	3.5x	18.2x	15.3x	12.9x
ServiceNow	NOW	\$85.23	(34%)	\$89,067	21%	20%	19%	6.3x	5.3x	4.4x	18.5x	14.8x	12.3x
Atlassian	TEAM	\$94.72	(42%)	\$25,168	21%	20%	17%	4.2x	3.5x	3.0x	15.7x	12.8x	10.6x
Confluent	CFLT	\$30.57	1%	\$11,228	20%	17%	16%	8.9x	7.6x	6.5x	NM	NM	NM
monday.com	MNDY	\$98.00	(34%)	\$5,221	26%	20%	20%	2.8x	2.4x	2.0x	10.5x	8.7x	7.0x
Mean			(22%)	\$68,162	26%	24%	22%	16.4x	12.1x	9.4x	44.9x	31.5x	24.1x
Median			(23%)	\$27,707	23%	20%	19%	8.9x	7.3x	6.1x	21.3x	17.3x	13.8x

Source: Visible Alpha, FactSet, UBSe for DDOG

Datadog Inc (DDOG.O)

	12/22	12/23	12/24	12/25E	%ch	12/26E	%ch	12/27E	12/28E	12/29E
Income Statement (US\$m)										
Revenues	1,675	2,128	2,684	3,426	27.6	4,258	24.3	5,161	6,177	7,299
Gross profit	1,346	1,744	2,201	2,778	26.2	3,489	25.6	4,242	5,091	6,035
EBITDA (UBS)	361	535	729	831	14.0	1,091	31.2	1,395	1,754	2,149
Depreciation & amortisation	(35)	(44)	(55)	(55)	-0.7	(59)	-7.0	(78)	(87)	(95)
EBIT (UBS)	326	490	674	776	15.1	1,031	32.9	1,317	1,667	2,054
Associates & investment income	0	0	0	0	-	0	-	0	0	0
Other non-operating income	0	0	0	0	-	0	-	0	0	0
Net interest	24	97	153	170	11.1	181	6.0	196	156	197
Exceptionals (incl goodwill)	0	0	0	0	-	0	-	0	0	0
Pre-tax profit	350	587	828	946	14.3	1,212	28.1	1,513	1,823	2,251
Tax	(12)	(12)	(20)	(17)	14.1	(36)	-109.5	(303)	(365)	(450)
Profit after tax	338	576	807	929	15.0	1,176	26.6	1,211	1,458	1,800
Preference dividends	0	0	0	0	-	0	-	0	0	0
Minorities	0	0	0	0	-	0	-	0	0	0
Extraordinary items	(388)	(527)	(624)	(814)	-30.5	(951)	-16.9	(1,138)	(1,309)	(1,474)
Net earnings (local GAAP)	(50)	49	184	115	-37.2	225	95.1	73	149	326
Net earnings (UBS)	338	576	807	929	15.0	1,176	26.6	1,211	1,458	1,800
Tax rate (%)	3.5	2.0	2.4	1.8	-24.8	3.0	63.6	20.0	20.0	20.0
Per Share (US\$)										
EPS (UBS, diluted)	0.98	1.65	2.26	2.56	13.5	3.19	24.7	3.24	3.84	4.68
EPS (local GAAP, diluted)	(0.15)	0.14	0.51	0.32	-38.1	0.61	92.2	0.19	0.39	0.85
EPS (UBS, basic)	1.07	1.78	2.40	2.67	11.3	3.33	24.7	3.38	4.01	4.88
DPS (net) (US\$)	0.00	0.00	0.00	0.00	-	0.00	-	0.00	0.00	0.00
Cash EPS (UBS, diluted) ¹	1.08	1.77	2.41	2.71	12.6	3.35	23.6	3.45	4.07	4.92
Book value per share	4.42	6.35	8.04	10.68	32.8	13.84	29.7	16.98	20.69	25.21
Average shares (diluted)	345	350	358	363	1.4	368	1.5	374	379	385
Balance Sheet (US\$m)										
Cash and equivalents	1,884	2,583	4,189	4,412	5.3	5,621	27.4	7,168	9,097	11,461
Other current assets	460	595	722	873	20.9	1,152	31.9	1,206	1,183	1,073
Total current assets	2,344	3,178	4,911	5,285	7.6	6,773	28.1	8,374	10,280	12,533
Net tangible fixed assets	125	172	227	311	37.2	320	2.7	330	348	377
Net intangible fixed assets	365	362	364	570	56.5	657	15.4	735	815	903
Investments / other assets	171	224	283	346	22.3	339	-2.0	328	329	330
Total assets	3,005	3,936	5,785	6,513	12.6	8,089	24.2	9,767	11,772	14,143
Trade payables & other ST liabilities	760	1,003	1,229	1,511	23.0	1,888	25.0	2,335	2,817	3,300
Short term debt	0	0	634	0	-	0	-	0	0	0
Total current liabilities	760	1,003	1,863	1,511	-18.9	1,888	25.0	2,335	2,817	3,300
Long term debt	739	742	979	982	0.3	982	0.0	982	982	982
Other long term liabilities	96	165	229	311	35.6	337	8.6	373	457	566
Preferred shares	0	0	0	0	-	0	-	0	0	0
Total liabilities (incl pref shares)	1,594	1,911	3,071	2,804	-8.7	3,208	14.4	3,691	4,256	4,849
Common s/h equity	1,411	2,025	2,714	3,709	36.6	4,881	31.6	6,076	7,516	9,294
Minority interests	0	0	0	0	-	0	-	0	0	0
Total liabilities & equity	3,005	3,936	5,785	6,513	12.6	8,089	24.2	9,767	11,772	14,143
Cash Flow (US\$m)										
Net income (before pref divs)	(50)	49	184	115	-37.2	225	95.1	73	149	326
Depreciation & amortisation	35	44	55	55	0.7	59	7.0	78	87	95
Net change in working capital	6	45	13	45	238.2	132	193.5	439	588	702
Other operating	428	522	619	822	32.9	947	15.2	1,122	1,291	1,453
Operating cash flow	418	660	871	1,038	19.2	1,364	31.4	1,712	2,114	2,575
Tangible capital expenditure	(35)	(28)	(35)	(59)	-69.1	(64)	-8.8	(72)	(86)	(102)
Intangible capital expenditure	(30)	(35)	(61)	(83)	-37.3	(91)	-9.2	(93)	(99)	(109)
Net (acquisitions) & disposals	(46)	(12)	(7)	(117)	NM	0	-	0	0	0
Other investing	(274)	(656)	(634)	(620)	2.2	0	-	0	0	0
Investing cash flow	(385)	(731)	(737)	(879)	-19.3	(155)	82.4	(165)	(185)	(212)
Equity dividends paid	0	0	0	0	-	0	-	0	0	0
Share issues / (buybacks)	36	58	51	5	-90.9	0	-	0	0	0
Other financing	0	0	0	0	-	0	-	0	0	0
Change in debt & pref shares	0	0	736	(636)	-	0	-	0	0	0
Financing cash flow	36	58	787	(631)	-	0	-	0	0	0
Cash flow inc/(dec) in cash	70	(13)	921	(472)	-	1,209	-	1,547	1,929	2,364
FX / non cash items	260	712	685	696	1.5	0	-	0	0	0
Balance sheet inc/(dec) in cash	330	699	1,606	223	-86.1	1,209	NM	1,547	1,929	2,364

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.¹ Cash EPS (UBS, diluted) is calculated using UBS net income adding back depreciation and amortization.

Datadog Inc (DDOG.O)

Valuation (x)	12/22	12/23	12/24	12/25E	12/26E	12/27E	12/28E	12/29E
P/E (local GAAP, diluted)	NM	NM	NM	NM	NM	NM	NM	NM
P/E (UBS, diluted)	NM	54.6	55.5	43.6	35.0	34.5	29.1	23.9
P/CEPS	NM	46.9	48.8	39.4	31.9	31.0	26.3	21.7
Equity FCF (UBS) yield %	1.0	2.1	1.9	2.3	3.1	4.0	5.0	6.1
Dividend yield (net) %	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
P/BV	24.5	14.2	15.6	10.5	8.1	6.6	5.4	4.4
EV/revenues (core)	NM	NM	NM	NM	8.2	6.5	5.1	4.1
EV/EBITDA (UBS core)	92.0	50.8	53.5	43.2	32.0	24.0	18.1	13.8
EV/EBIT (core)	>100	55.4	57.9	46.3	33.8	25.5	19.1	14.4
EV/OpFCF (core)	>100	53.6	56.2	46.5	34.0	25.3	19.1	14.5
EV/op. invested capital	>100	>100	>100	>100	>100	>100	NM	NM
Enterprise value (US\$m)	12/22	12/23	12/24	12/25E	12/26E	12/27E	12/28E	12/29E
Market cap.	34,197	28,673	41,241	38,940	38,940	38,940	38,940	38,940
Net debt (cash)	(982)	(1,493)	(2,208)	(3,003)	(4,034)	(5,412)	(7,150)	(9,296)
Buy out of minorities	0	0	0	0	0	0	0	0
Pension provisions/other	0	0	0	0	0	0	0	0
Total enterprise value	33,215	27,180	39,033	35,937	34,906	33,528	31,790	29,644
Non core assets	0	0	0	0	0	0	0	0
Core enterprise value	33,215	27,180	39,033	35,937	34,906	33,528	31,790	29,644
Growth (%)	12/22	12/23	12/24	12/25E	12/26E	12/27E	12/28E	12/29E
Revenue	62.8	27.1	26.1	27.6	24.3	21.2	19.7	18.2
EBITDA (UBS)	92.0	48.2	36.4	14.0	31.2	27.9	25.7	22.5
EBIT (UBS)	97.7	50.3	37.5	15.1	32.9	27.7	26.6	23.2
EPS (UBS, diluted)	101.9	68.0	37.1	13.5	24.7	1.4	18.7	21.6
Net DPS	-	-	-	-	-	-	-	-
Margins & Profitability (%)	12/22	12/23	12/24	12/25E	12/26E	12/27E	12/28E	12/29E
Gross profit margin	NM	NM	NM	NM	NM	NM	NM	NM
EBITDA margin	21.5	25.1	27.2	24.3	25.6	27.0	28.4	29.4
EBIT (UBS) margin	19.5	23.0	25.1	22.6	24.2	25.5	27.0	28.1
Net earnings (UBS) margin	20.2	27.0	30.1	27.1	27.6	23.5	23.6	24.7
ROIC (EBIT)	NM	NM	NM	NM	NM	NM	NM	NM
ROIC post tax	NM	NM	NM	NM	NM	NM	NM	NM
ROE (UBS)	27.6	33.5	34.1	28.9	27.4	22.1	21.5	21.4
Capital structure & Coverage (x)	12/22	12/23	12/24	12/25E	12/26E	12/27E	12/28E	12/29E
Net debt / EBITDA	(3.2)	(3.4)	(3.5)	(4.1)	(4.3)	(4.4)	(4.6)	(4.9)
Net debt / total equity %	(81.2)	(90.9)	(94.9)	(92.5)	(95.0)	(101.8)	(108.0)	(112.7)
Net debt / (net debt + total equity) %	NM	NM	NM	NM	NM	NM	NM	NM
Net debt/EV %	(3.0)	(5.5)	(5.7)	(8.4)	(11.6)	(16.1)	(22.5)	(31.4)
Capex / depreciation %	130.3	77.5	71.6	120.1	115.0	116.3	126.8	139.4
Capex / revenue %	2.1	1.3	1.3	1.7	1.5	1.4	1.4	1.4
EBIT / net interest	-	-	-	-	-	-	-	-
Dividend cover (UBS)	-	-	-	-	-	-	-	-
Div. payout ratio (UBS) %	-	-	-	-	-	-	-	-
Revenues by division (US\$m)	12/22	12/23	12/24	12/25E	12/26E	12/27E	12/28E	12/29E
Others	1,675	2,128	2,684	3,426	4,258	5,161	6,177	7,299
Total	1,675	2,128	2,684	3,426	4,258	5,161	6,177	7,299
EBIT (UBS) by division (US\$m)	12/22	12/23	12/24	12/25E	12/26E	12/27E	12/28E	12/29E
Others	326	490	674	776	1,031	1,317	1,667	2,054
Total	326	490	674	776	1,031	1,317	1,667	2,054

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.

Forecast returns

Forecast price appreciation	74.6%
Forecast dividend yield	0.0%
Forecast stock return	74.6%
Market return assumption	8.5%
Forecast excess return	66.1%

Company Description

Datadog is a monitoring service for cloud-based infrastructure and applications, providing visibility into servers, apps, tools, and services through its platform, which offers dashboarding, visualization, and alerting. The company was founded in 2010 in by Olivier Pomel and Alexis Lê-Quôc, went public in Sept 2019 and is headquartered in New York City. The company generated \$1.7bn in 2022 revenue and has over 26,000 customers.

Valuation Method and Risk Statement

Downside risks include: 1) a greater-than-expected lag in Observability spend recovering relative to an expected re-acceleration in public cloud spend/workload activity, 2) intensifying competition in the Observability market leads to more pricing pressure and worse-than-expected share gains. We value Datadog on a FCF multiple basis.

Quantitative Research Review

UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of an occurrence of a number of short term factors in a product known as the 'Quantitative Research Review'. The views for this month can be found below. Views contained in this assessment on a particular stock reflect only the views on those short term factors which are a different timeframe to the 12-month timeframe reflected in any equity rating set out in this note. For previous responses please make reference to (i) previous UBS Global Research reports; and (ii) where no applicable research report was published that month, the Quantitative Research Review which can be found at <https://neo.ubs.com/quantitative>, or contact your UBS sales representative for access to the report or the Quantitative Research Team on ubs-quant-answers@ubs.com. A consolidated report which contains all responses is also available and again you should contact your UBS sales representative for details and pricing or the Quantitative Research Team on the email above.

Datadog Inc

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	4
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher, 3 = no change, 5 = getting better, N/A = no view)	N/A
3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)	4
4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)	4
5. What's driving the difference?	
6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of: (1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view)	4
7. What's driving the difference?	
8. Is there an upcoming catalyst for the company over the next three months?	
9. Is there an actual or approximate date for the catalyst?	
10. Is the catalyst date an actual or approximate date?	
11. What is the catalyst?	

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12-Month Rating	Definition	Coverage ¹	IB Services ²
Buy	FSR is > 6% above the MRA.	52%	24%
Neutral	FSR is between -6% and 6% of the MRA.	41%	22%
Sell	FSR is > 6% below the MRA.	7%	25%
Short-Term Rating	Definition	Coverage ³	IB Services ⁴
Buy	Stock price expected to rise within three months from the time the rating was assigned because of a specific catalyst or event.	<1%	<1%
Sell	Stock price expected to fall within three months from the time the rating was assigned because of a specific catalyst or event.	<1%	<1%

Source: UBS. Rating allocations are as of 31 December 2025.

1:Percentage of companies under coverage globally within the 12-month rating category.

2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

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Company Name	Reuters	12-month rating	Price	Price date
Datadog Inc ^{12,16,28}	DDOG.O	Buy	US\$111.69	06 Feb 2026

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.

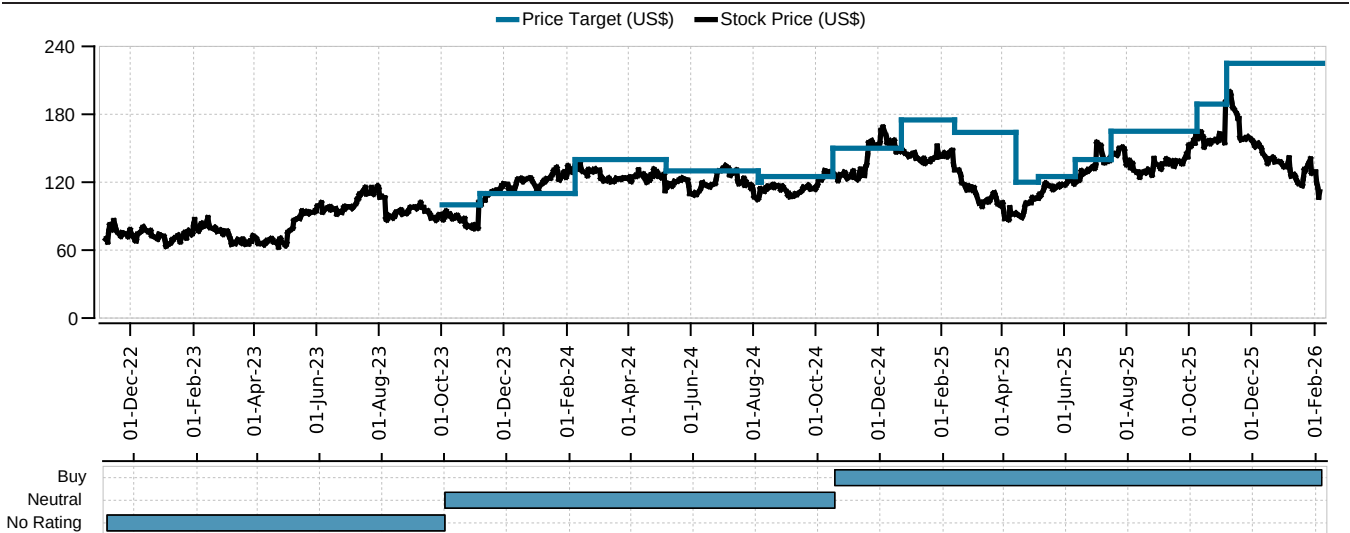
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Datadog Inc (US\$)



Date	Stock Price (US\$)	Price Target (US\$)	Rating
2022-11-04	70.38	-	No Rating
2023-10-01	91.15	100.00	Neutral
2023-11-07	102.32	110.00	Neutral
2024-02-08	131.38	140.00	Neutral
2024-05-07	112.55	130.00	Neutral

Date	Stock Price (US\$)	Price Target (US\$)	Rating
2024-08-05	105.01	120.00	Neutral
2024-08-08	114.18	125.00	Neutral
2024-10-17	126.25	150.00	Buy
2024-12-23	147.41	175.00	Buy
2025-02-13	135.89	164.00	Buy
2025-04-14	91.88	120.00	Buy
2025-05-06	106.06	125.00	Buy
2025-06-11	118.63	140.00	Buy
2025-07-16	139.36	165.00	Buy
2025-10-08	164.12	189.00	Buy
2025-11-06	190.82	225.00	Buy

Source: UBS Global Research; LSEG Eikon as of 06-Feb-2026. All prices as of local market close. Ratings as of date shown.

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